
Chip Category Strategy Review

Customer Insights, Trial Store Results & Recommendations for the Next Half-Year Plan

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Prepared for Julia, Category Manager

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Three moves to grow the chip category this half

01

Target family segments

Older & Young Families spend the most per customer (\$36 & \$34). Prioritise family-size packs and bundles.

02

Diversify beyond 3 brands

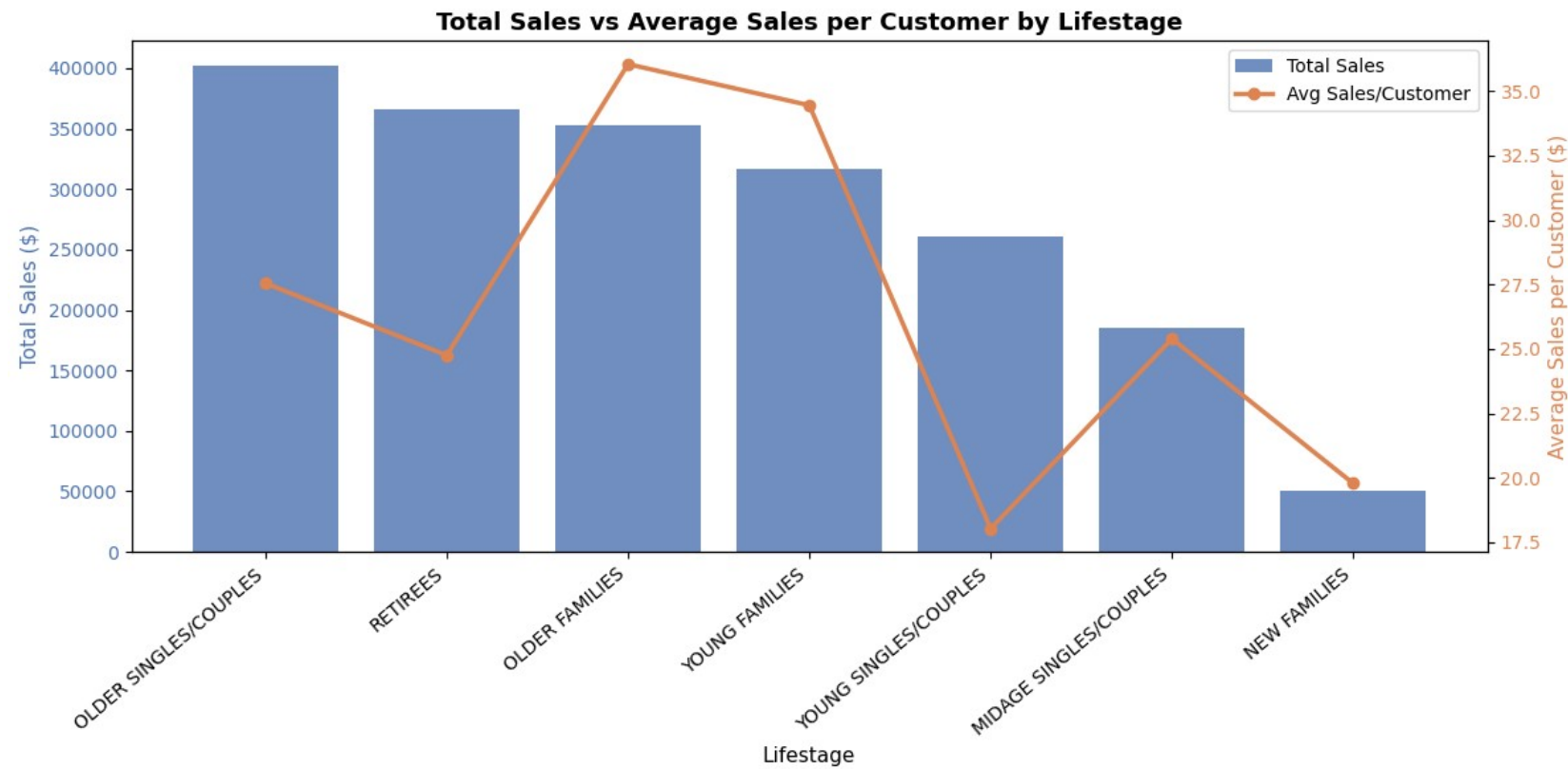
Kettle, Doritos & Smiths drive ~44% of sales. Grow mid-tier brands to reduce concentration risk.

03

Roll out the trial layout

The store trial delivered a statistically significant sales lift in 2 of 3 stores — expand it further.

Families are the highest-value customers



\$36.04

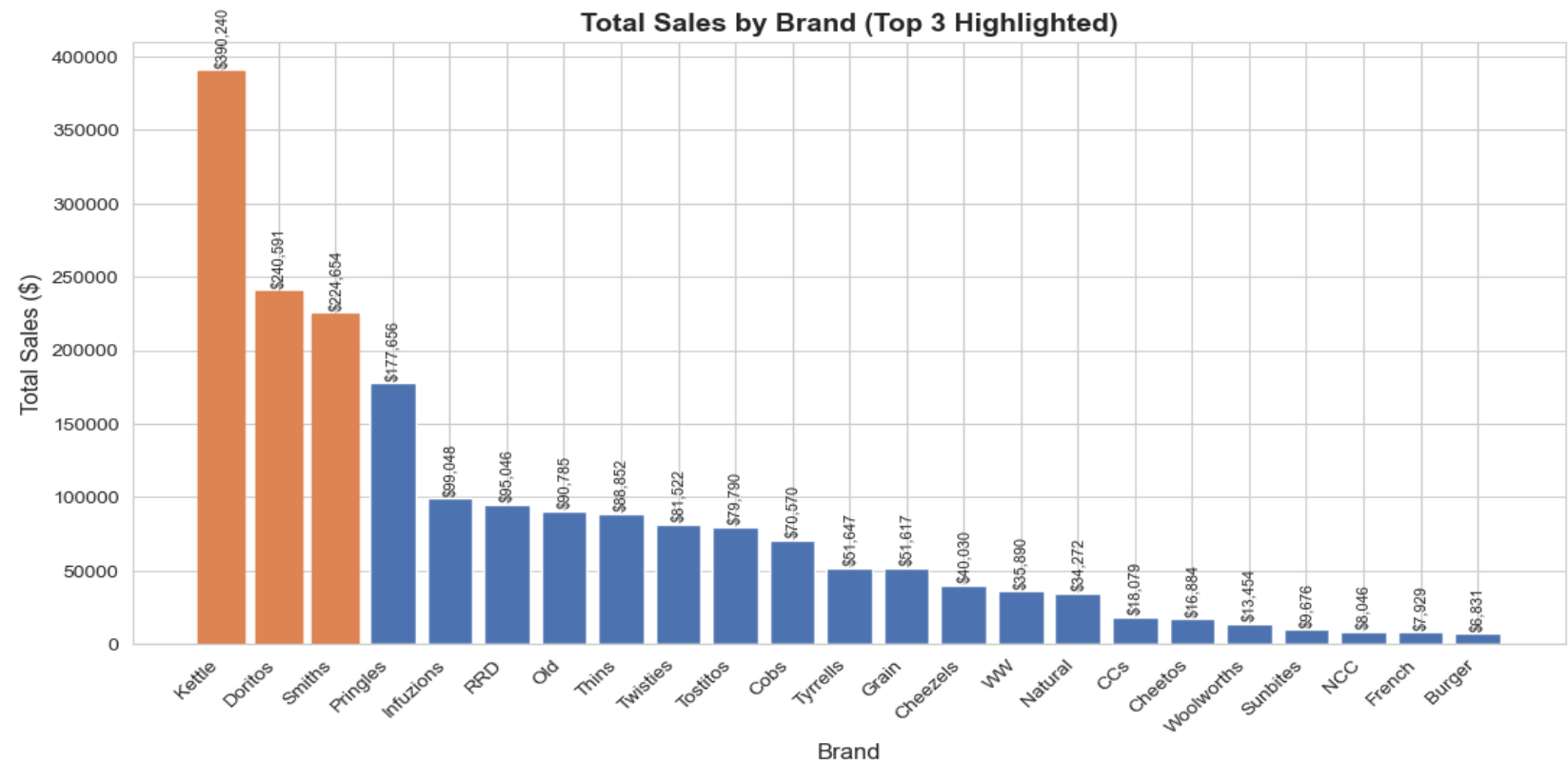
Older Families — avg. sales per customer, the highest of any segment

\$34.45

Young Families — 2nd highest, despite a smaller population

Total sales are highest among Older Singles/Couples & Retirees — but that reflects population size, not spend per person.

Revenue is concentrated in three brands



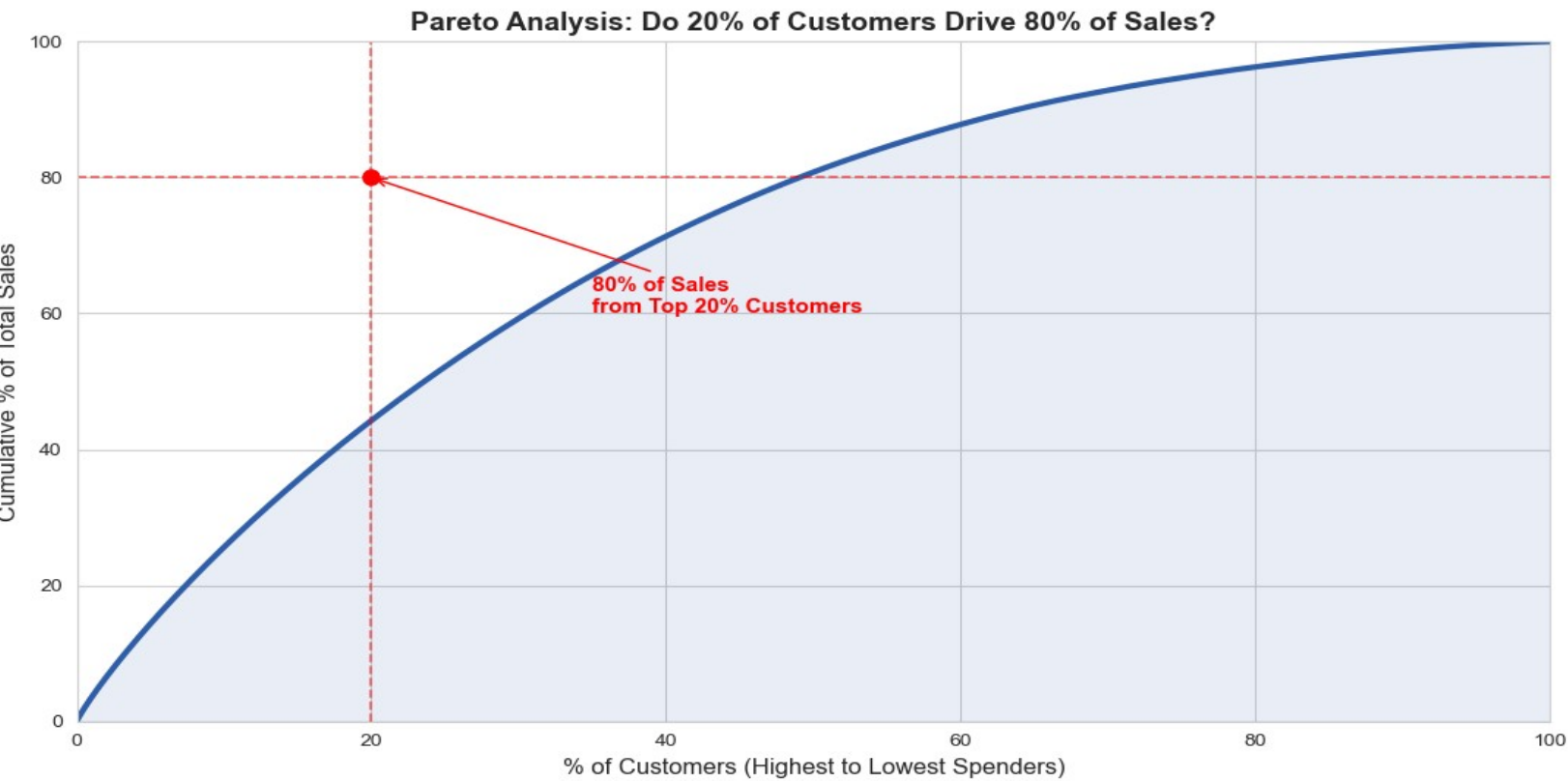
~44%

of total sales comes from just Kettle, Doritos & Smiths

Risk: a disruption to any one of these brands (supply, pricing, quality) could materially impact overall revenue.

Recommendation: grow shelf space & promotions for mid-tier brands (Infuzions, RRD, Thins, Twisties).

Spending is broad-based — there's no VIP tier yet

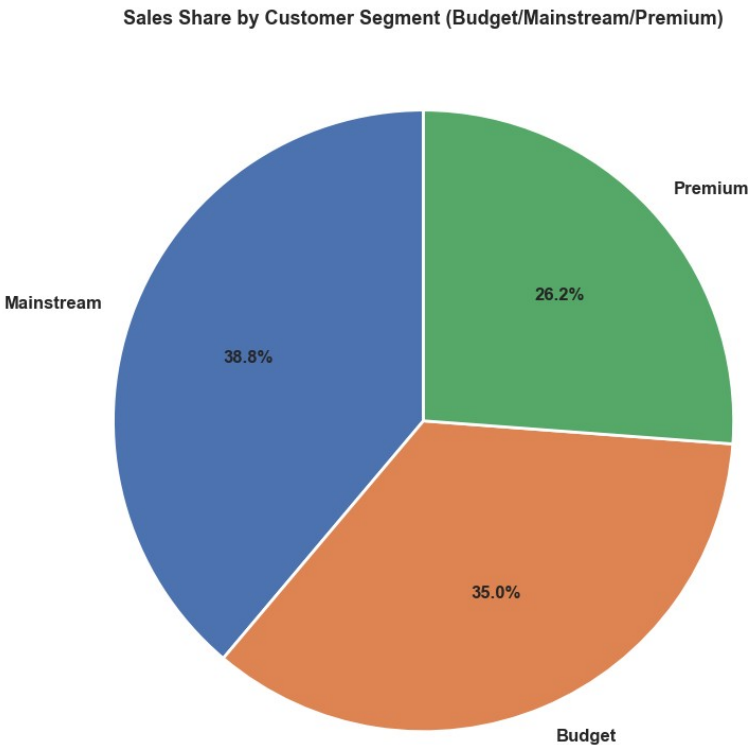


44.3%

of sales comes from the top 20% of customers (not 80%, as the classic rule assumes)

Opportunity: introduce a loyalty / VIP tier program to retain top spenders and motivate regular customers to spend more.

Budget shoppers are a core, price-sensitive base



- Mainstream** 38.8%

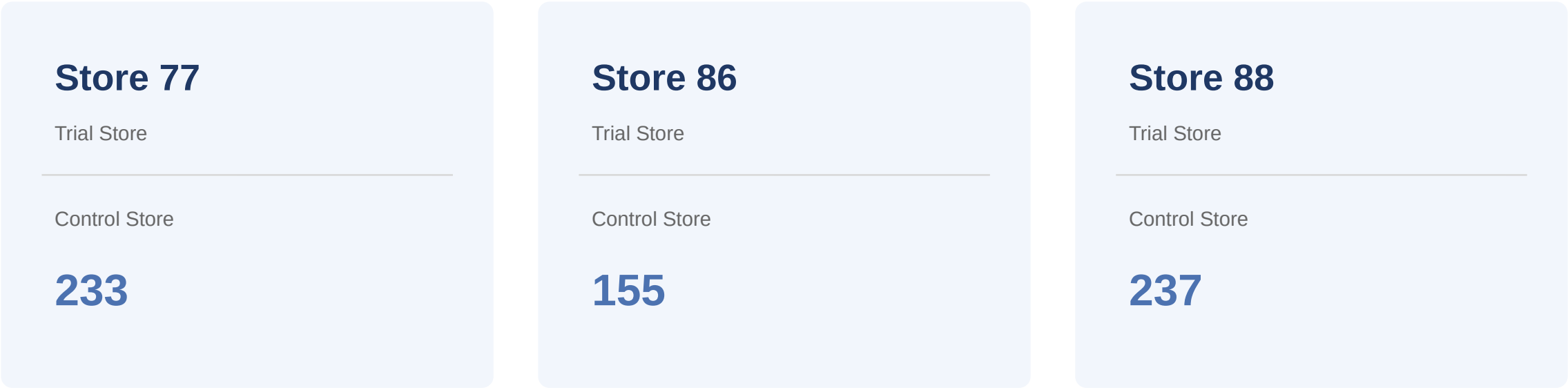
Largest share; values convenience and brand recognition
- Budget** 35.0%

Appears in 3 of the top 5 lifestage segments — strong, consistent demand
- Premium** 26.2%

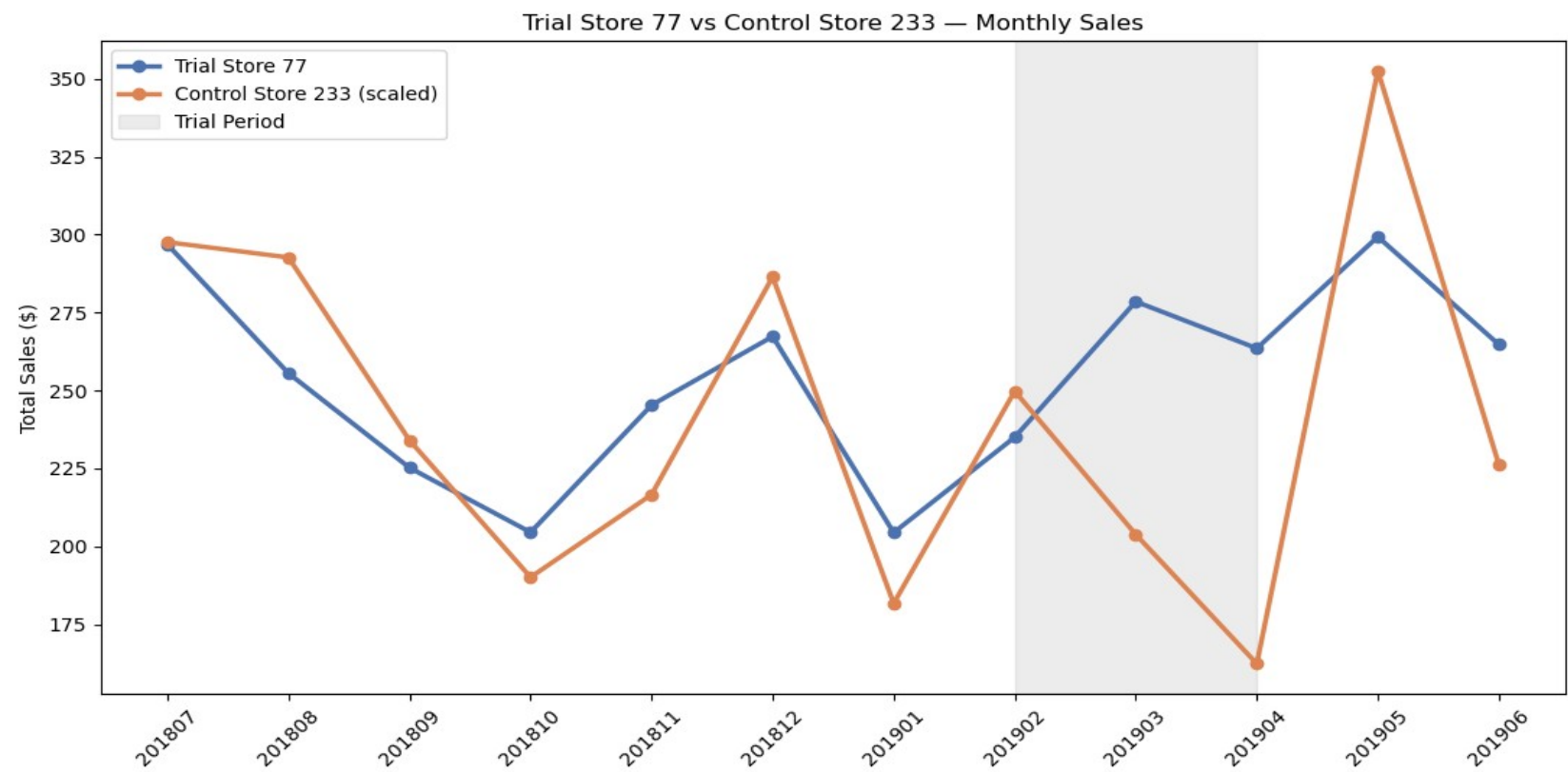
Smallest share; more selective, likely values quality/health positioning

Testing a new store layout in 3 trial stores

Each trial store (77, 86, 88) was matched to a statistically similar control store, based on pre-trial sales and customer trends. During the trial period (Feb–Apr 2019), we compared trial performance against the scaled control to test for a genuine, significant sales lift.



A statistically significant sales lift

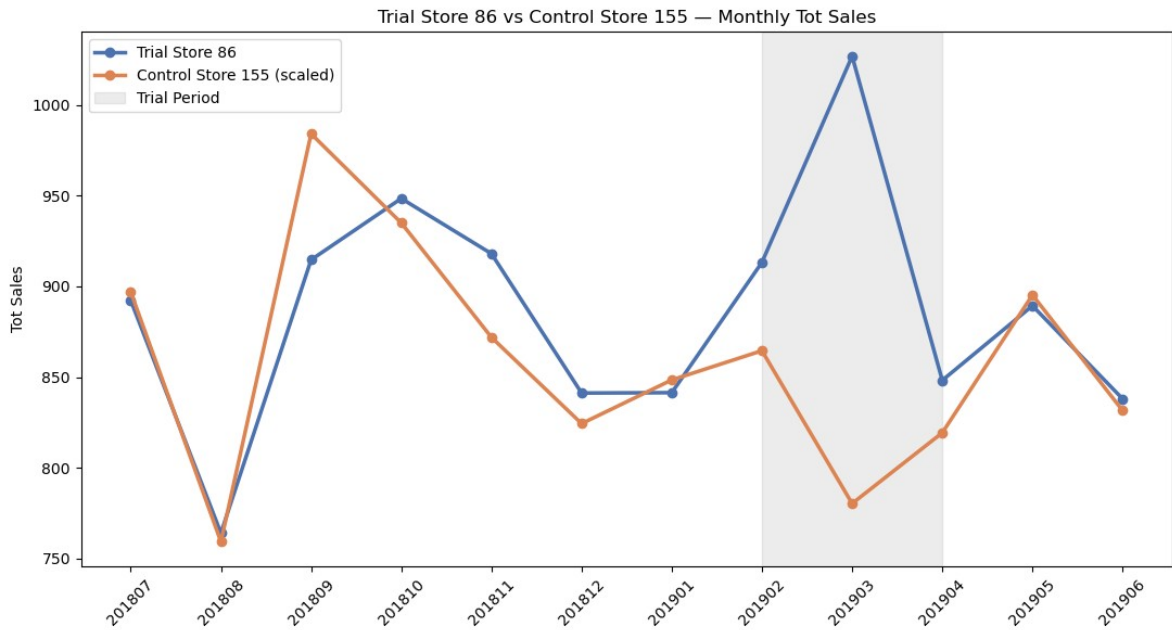


SIGNIFICANT

Sales exceeded the control store's expected range in 2 of 3 trial months.

March and April both showed strong uplift, driven mainly by higher customer traffic rather than bigger baskets.

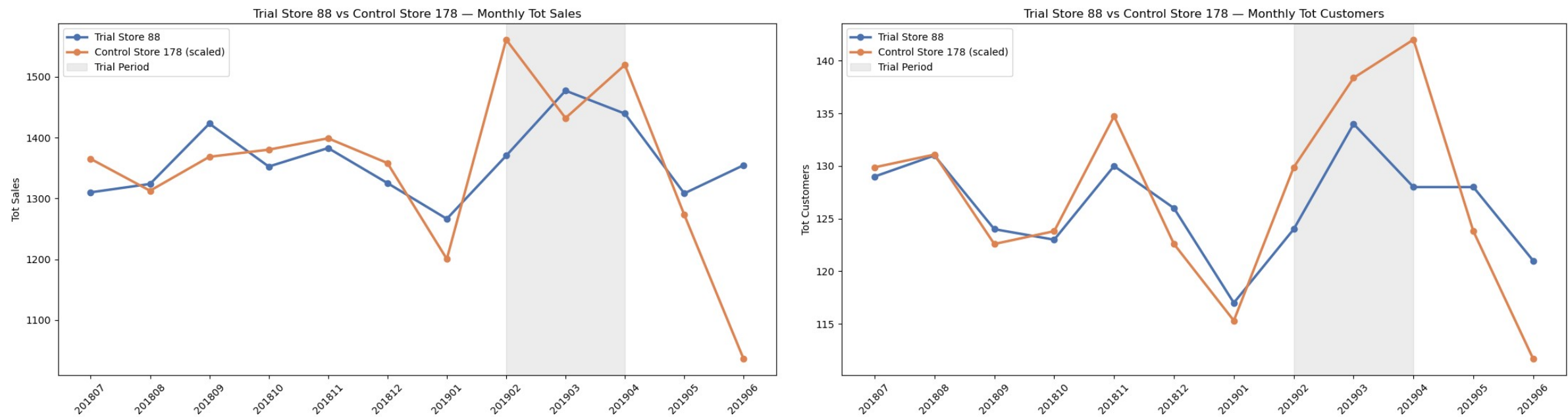
More customers, but not enough to lift sales



NOT SIGNIFICANT ON SALES — BUT CUSTOMER GROWTH IS THE CLOSEST RESULT OF THE THREE STORES

Customer counts were consistently higher during the trial, but sales didn't follow — worth checking with the Category Manager whether Store 86's trial used different pricing or promotions than the others.

A statistically significant sales lift



SIGNIFICANT

Like Store 77, Store 88's sales moved outside the control store's expected range in 2 of 3 trial months — a genuine, not just seasonal, effect of the new layout.

Next steps for the half-year plan

- 1 Roll out the trial layout further**

Stores 77 and 88 showed a significant, genuine sales lift — expand the layout change to more stores with similar profiles.
- 2 Investigate Store 86**

Customer traffic rose but sales didn't — check with the Category Manager if pricing or promotions differed there before rolling out.
- 3 Target family segments**

Build family-size packs and bundle offers around Older & Young Families, the highest per-customer spenders.
- 4 Diversify brand support**

Grow mid-tier brands alongside Kettle, Doritos & Smiths to reduce reliance on just three brands.
- 5 Launch a loyalty tier**

Spending is broad-based with no natural VIP segment — a tier program can retain and grow top spenders.



Thank you

Happy to walk through any of these findings in more detail before the client presentation.

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